MiCA - Comments on ongoing Council discussions

April 29, 2021

The table below summarizes our views.

Positive	Neutral	Issues / Missing
Clarification of the scope - exclusion of NFTs, tokenized vouchers and other use cases with limited financial application.	*Clarification of the scope* - Introduction of the notion of “offeror” and subsequent clarifications.	*Settlement rules* ~~-~~ inappropriate daily on-chain settlement requirement for centralized exchanges is still present.
Clarification of the scope - exclusion of decentralized use cases that are not controlled by a natural or legal person.	*Distinction between “payment ARTs” and “investment ARTs”.* Remark: A presumption of payment for all ARTs would not appropriately qualify the actual asset class use cases.	*Electronic money tokens: lack of regulatory clarity. [we need to elaborate briefly]*
Equal treatment for all - non-discriminatory treatment for financial and non-financial entities under MiCA.		*Significance thresholds* - ~~Those~~ proposed thresholds ~~are~~ remain~~still~~ too low and not sufficiently defined. All existing stablecoins fall into thescope.

On the scope (Recitals, Title I)

The clarification on the scope of MiCA with effect to exclude NFTs, decentralized assets (see below) and other use cases with limited financial application is overall very positive. This will give more clarity to the market participants and allow non-financial use cases of blockchain to grow in the EU.

On decentralization specifically, the recognition of decentralized use cases (assets and protocols alike) being outside ~~of~~the scope of the regulation is ~~very positive and~~ well drafted and welcome. As recognized, MiCA would not have been suitableto regulate decentralized use cases, ~~so not excluding them~~and their inclusion would have seriously harmed Europe's competitiveness in the crypto-assets market. ~~Strong support from our side here.~~

However, the recital needs to be transposed into ~~actual rules in~~in the articles of the text now. Example:

> **Proposal**
> ~~Add exclusions in line with said~~Align articles with recital [x- we need to reference number]:
> - Article 3, add "*(h) Decentralised exchanges and other crypto-asset trading or custody activities that are not provided and controlled by a service provider.*"
> - Add Article 3 bis "*Provisions of Titles II, III and IV do not apply to crypto-assets that have no issuer or offeror, for example because they emerge on the market exclusively as the result of mining or the application of a computer protocol not under the control of an identifiable legal or natural person.*"

In addition to this exclusion, ~~we suggest~~ **a future reassessment of the decentralized use cases is needed** in the report and legislative proposal of Article 122.

The non-discriminatory treatment of financial and non financial institutions is also welcome. Previously there was~~The removal of the~~ preferential treatment ~~that was~~ granted to ~~licensed~~ financial institutions~~, which was neither justified nor practical, is also a very positive outcome~~.

On EMTs and ARTs (Title III & IV)

Regarding the definitions, ~~we understand that~~ the frontier between EMTs and ARTs raises significant questions, notably with respect to ARTs that are referencing one or more currency. A potential solution put to the table is the distinction between investment ARTs and payment ARTs, the latter being regulated the same way as the EMTs. While any clarification that helps to distinguish between asset classes with significantly different risk profiles is a net positive, **such distinctions must always be based on factual differences, and not on broad presumptions**. Therefore, the proposal to consider all ARTs as payment instruments by default would significantly reduce the utility and diversity of this asset class in Europe. [can we briefly explain why?]

With regards to regulatory clarity, the current drafting is still lacking. It is still unclear whether individuals and companies will be able to use the EMTs similarly to competitors, especially USD stablecoins. ~~This is the main concern of the industry, as the~~ For the EU ~~should~~ to remain competitive in this regard, MiCA needs to provide additional clarity by stating that:

- **Custodians can custody EMTs** without additional requirements (and notably without being registered as an EMI).
- **EMTs can be used by CASPs** without limitation for the settlement of the transactions they conduct and without additional regulatory requirement.
- **EMTs can be used in peer-to-peer transactions.**

On significance thresholds, improvements have been made with the removal of the size of the reserve assets (art. 39.1.d) and the significance of the cross-border activities of the issuer (art. 39.1.e) criteria. The first one is redundant with criteria b and the second one makes no sense as crypto-markets are essentially global and such a provision would substantially limit the development of EU markets.

However, other criteria raise ~~the following remarks~~issues:

- **Criterias such as "customer base", "number of transactions" and "value of transactions" should be further defined.** ~~We understand that T~~The thresholds are targeting flows that give rise to significant risks with regards to "financial stability, monetary policy transmission or monetary sovereignty" (recital 4). The transactions that occur on trading platforms or for use as deposits (whether those uses occur on centralized or decentralized platforms) should therefore not count into threshold calculations.

- **The interconnectedness with the financial system criteria** (art. 39.1.g) - as not being defined clearly - could also be detrimental to the growth of markets in crypto-assets.
- Finally, thresholds for significant criteria defined in art.39.6.a are too low as all the main existing stablecoins would immediately qualify as "significant". **To this end, we suggest to raise such minimum thresholds**:

Minimum thresholds for:	**EC's current levels**	**EUCI's suggested levels** ***(combined with exclusion of trading & deposits volumes)***	**EUCI's suggested levels** ***(without exclusion of trading & deposits volumes)***
(i) Customer base	2 million	10 million	10 million
(ii) Value of stablecoins issued or market capitalisation	EUR 1 billion	EUR 20 billion	EUR 20 billion
(iii) Number (and value) of transactions in stablecoins	500 000 transactions per day	1 million transactions per day	100 million transactions per day
(iii) (Number and) value of transactions in stablecoins	EUR 100 million per day	EUR 200 million per day	EUR 200 billion per day

On settlement rules (Article 68)

Daily on-chain settlement requirement for centralized exchanges is still present. The requirement for daily transaction settlement on blockchain would represent a disproportionate burden for centralized exchanges. Following the requirement the centralized exchanges would need to completely change their business model and their daily operations from the technical point of view, which would severely limit their ability to operate. **The cost and the complexity associated with being compliant with those requirements would be insurmountable.**

Proposal
Article 68, remove "*6. Crypto-asset service providers that are authorised for the operation of a trading platform for crypto-assets shall complete the final settlement of a crypto-asset transaction on the DLT on the same date as the transactions has been executed on the trading platform.*"